



Financial Feasibility Report For Biomass Pellets Business

With an Example of 2TPH Plant

Helpful For Assessing

Project Cost, Funding Pattern,
Operational Cost, Net Margin,
Payback Period, Project IRR, Risk
Points and Subsidy Benefits.

KIP Business Subsidy Consultant Since 2008

BRIEF OF Financial Feasibility Report

Welcome to the comprehensive guide for Accessing Financial Feasibility and Fiscal Incentives available on Biomass Briquettes and Pellets Business. This Feasibility Report aims to provide detailed information to the reader for the Biomass Briquettes and Pellets Business and subsidy schemes available thereon.

Whether you're setting up a new unit of Biomass Briquettes and Pellets Business or seeking financial assistance to expand your existing unit, this Report will help you navigate through the Financial Viability of said business. We have tried to cover up a detailed insight for Biomass Briquettes and Pellets Business, so that readers can developed their understanding on Biomass Briquettes/Pellets Business along with right subsidy planning.

We at KIP Financial Consultancy Pvt. Ltd, working as Business Subsidy Consultant Since 2008 onward and rendering Advisory and Investment consultancy for Bio Energy Projects, MSME Units, Warehouse Business and Agri Based Project.

Further, we have tried to share information related to overall feasibility of said business so that being an investor, reader can take the decision to start this business. Further reader can line the available Financial Assistance and Subsidy Benefits provided by Centre Govt. through MNRE (Ministry of New and Renewal Energy) for the business of Biomass Briquettes and Pellets.

We hope such information shall be helpful to the reader or Investor to take right investment decision. So that they can maximize their subsidy benefits and reduce their cost of business.



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We at KIP
Are working as Business Subsidy Consultant
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We work with
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We help them
In taking Right Investment Decision with
appropriate Business Modeling.

So that
Our Clients can avail Maximum Subsidy
Benefits/ Other eligible Financial Incentives and
Reduce their Cost & Maximize Profit.

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This Financial Feasibility Report is Going to be helpful for those who are;

1. Who are looking to start a new business.
2. Who are working in Agriculture Sector.
3. Who are big Farmers and want to manage Agri Residue with extra income.
4. Who are working in Biomass Energy Sector.
5. Which want to diversify their business with backward or forward integration.
6. Who are looking higher subsidy business.
7. Who are looking highly demandable business.
8. Who are looking 100% Tax Free Business.
9. Who want to Invest in India being an NRI.
10. Who want to acquire large scale supply contract from Public Sector Undertaking.
11. Who want to manage Forest, Agri, Horticulture, Wooden and Bamboo Residue.
12. Who are looking business in Punjab, Haryana and UP.
13. Who are working in the supply of Agri Implements.
14. Who are working in Waste Residue Management.
15. Who want to get big return on his investment.
16. Who are working as Biomass Aggregator.
17. Who are in business of Compress Bio Gas and CNG.
18. Who are in business of Saw dust and Wooden.
19. Who are located surrounding in Forest Area or in Eastern Zone of India.
20. Who are the technical vendors for Biomass Sector.
21. Who are in Cooking Industry or Hotel Industry or in Energy Sector.
22. Who are looking substitute of Coal in his Business.
23. Who are facing problem in Transportation and handling of coal.
24. Who are facing high cost of Coal.
25. Who are working research in Bio energy Sector.
26. Who are working in Business Consultancy.
27. Working Farmer Producer Company, Self Help Group, Primary Agriculture Society, Farmer Group, Local Body, Private Limited Company, Food Processing Unit, Warehousing Unit, Transportation and Logistic Units etc.
28. Who are traders for Biomass Briquettes and Pellets.



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**ABOUT
FEASIBILITY REPORT**

CHAPTER 1

Let's start to understand the meaning of Feasibility.

Whenever a person wants to start the business, his/her first question will be that;

- Whether such business is profitable or not?
- Is there demand of product is prevailing in the market?
- What will be the basic cost of Project?
- Whether the business is technically viable or not?
- Whether the basic raw material is easily available in surrounding area.
- How much working capital is required?

Unless until, an investor or Businessman get not the answered of above said questions, he/she will not start the business.

A Feasibility Report will answer the above said question in context of particular business.

The overall feasibility of a project covers multiple dimensions beyond just financial feasibility. It assesses the project's viability from various perspectives to ensure that it can be successfully implemented and sustained. The key areas of feasibility that are typically evaluated include:

(i) Technical Feasibility:

For Assessing the suitability of the technology and plant and machinery required for the project along with the requirement of infrastructure.

(ii) Market Feasibility:

Assessment of Demand of the product and pricing thereof. Under marketing feasibility, an evaluation the level of competition in the market shall also framed.

(iii) Financial Feasibility:

Cost of the project and profitability analysis has framed under the financial feasibility.

(iv) Statutory Feasibility:

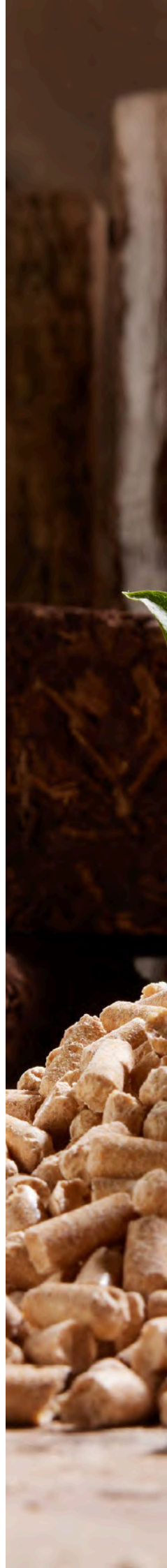
What type of Govt. Policies are applicable and what type of approval required for running the project, has been assessed under legal and regulatory feasibility of the project.

(v) Managerial Feasibility:

Under this feasibility, assessment of manpower and other managerial aspect will be evaluated for running the project.

In conclusion, the overall feasibility of a project is a comprehensive assessment that looks at technical, market, financial, legal, environmental, operational, organizational, and social factors. Each of these areas needs to be carefully evaluated to ensure that the project is viable, sustainable, and capable of achieving its objectives.

As far as concern the business of biomass briquettes and pellets, we are sharing herewith the overall financial feasibility of said business that will assist the reader to take the final call on doing the said business. We have tried the coverage of overall financial aspects of said business along with the subsidy and incentives aspects as applicable on this business.



Readers are advised to take final call after making the due diligence on all feasibility aspects as shared above.

Financial Feasibility of Biomass Briquettes/Pellets Business:

The financial feasibility of a biomass pellet project involves assessing the capital investment, operating costs, revenue potential, and profitability of the project.

Below is an outline of key factors to consider in evaluating the financial feasibility:

- (i) Basic Financial Assumption and Inputs
- (ii) Capital Investment
- (iii) Funding Pattern
- (iv) Operating Cost
- (v) Sales Projection
- (vi) Profitability Projection
- (vii) Key Financial Indicators
- (viii) Govt. Subsidy and Incentives

For making better understanding the financial feasibility of biomass briquettes and pellets business, we have taken the Example of 2TPH Plant for Biomass Pellet Manufacturing Unit.

Readers are advised to ensure financial feasibility as per the production capacity of Plant as they are going to plan for setup.



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**FINANCIAL
FEASIBILITY**



CHAPTER 2

1. Basic Financial Assumptions and Inputs:

We have taken the below mentioned basic financial assumption for making financial feasibility for said business. Further it has been clarified herewith that investor may variate any inputs as per their project need and accordingly determined the feasibility of project.

- Plant Capacity: 2 TPH, which equals 6,000 tons/year (assuming 10 hours/day, 300 days/year). Capacity utilization will be 80% to 100%.
- Operating Days: 300 days/year.
- Pellet Price: Rs. 8,000/Ton (As notified by Ministry of Power)
- Raw Material: Agri, Forest, Wooden and Forest based Residue.
- Raw Material Cost: Rs. 4,000/Ton
- Raw material storage has framed for at least 3 Months and Finished Goods for 1 Month.
- Margin Money (Own Contribution): 25% of Project Cost
- Bank Loan – 75% of Project Cost
- Interest Rate on Loan: 9% per annum
- Moratorium Period: 6 Months (Interest will be paid during this period)
- Loan Tenure: 7 Years
- Total EMI: 78 Months

1.Capital Investment:

(i) Land:

Land may be acquired or taken on lease. Approx. 1 Acres is required for set up the Plant and Machinery and allied Civil work including Storage facility. We have assumed the land taken on lease for 10 Years. Annual Lease rent has taken of Rs. 2.00 Lacs with 10% annual increment.

(Ensure the compliance of conversion of land as per state specific law along with land title documents. Lease deed must be registered. Further most of the States Govt. has nominated this business as thrust sector business and exempted from the conversion of the land.)

(ii) Building Costs:

We have taken the estimated cost of construction of Rs. 55.00 Lacs for the required facility of storage, processing plant, etc. It is hereby recommended to have a proper site layout map before line up the needful construction. Avoid unnecessary expenditure on Boundary wall, Office Utilities and labour quarter.

(Advise to depute more fund in working capital required for purchasing and storage of raw material).



(iii) Machinery and Equipment:

A 2TPH Production Capacity Plant & Machinery required investment of Rs. 80.00 Lacs. It will cover the Pelletizer machines, dryers, grinders, conveyors, etc. Ensure the needful utilities such as Electricity Connection, Weight measurement machine or loader etc. as per the need of your plant. It may require additional investment of Rs. 15.00 Lacs.

(Ensure the Proper Tax Invoice of Plant & Machinery and avoid second-hand machinery to maximize the Subsidy benefits. Here important point is that MNRE will line up subsidy as per the Production Capacity and Cost of the Plant.)

(iv) Initial Working Capital:

Raw material procurement is a big aspect in this business. Since most of residue are seasonable, hence a sufficient quantity of storage needs to be line up for met out the Plant Production capacity. Working capital requirement will be variate as per the plant production capacity. Further it is also depending on your working capital cycles. Means to say how much credit period allowed by the supplier to you and how much credit period you allowed to your buyer of pellets.

As per 2TPH Capacity, Units required at least 600 Ton Material in a Months. A Units at least ensure the 3 Months requirement of raw material. Accordingly, it will be approx. of 1800 Ton. It will cost around of Rs. 70.00 to 72.00 lacs.

3. Funding Pattern:

Funding pattern has taken as Self as well as Banking. 25% of Total Fund requirement shall be injected by the promoters and rest 75% shall be met out from the credit facility taken from the bank in the forms of Term Loan and Cash Credit Limit.

(Here, important point is that we have not treated the subsidy as a part of source of fund. To ensure the better feasibility of the project, we have treated the subsidy separately.)

Cost of Project and Means of Finance (A 2TPH Biomass Pellet Plant)		
A.	Cost of Project	Amount (Rs in Lacs)
1	Land	On Lease
2	Building and Other Civil Work	55.00
3	Plant & Machinery (Including Electrification and allied Utilities)	95.00
4	Working Capital	70.00
Total Cost of Project		220.00
B.	Means of Finance:	
1	Own Contribution (25% of Total Cost)	55.00
2	Bank Finance: (75% of Total Cost)	
	Term Loan	112.50
	Cash Credit Limit	52.50
Total Means of Finance		220.00

4. Operating Costs:

Under the operational cost of plant, we have considered the needful provision for;

(i) Raw Materials:

An average rate of Rs. 4000/Ton has considered for raw material. Price may be variate as per the market situation and component of residue used in production of pellets. Provision for Loading and unloading expenses and Transportation cost has also lined up at the time of calculation of cost of production.

(ii) Labor Costs:

Wages for skilled and unskilled labor, including plant operators, maintenance staff, and administrative personnel has been considered in this part. A tentative provision of 16 Staff has been made in this projection.

(iii) Other Operational Cost:

Apart from the raw material and Labor cost, provision for other operation cost such as electricity, transportation, loading and unloading, packaging, repair and maintenance has lined in this feasibility analysis.

5. Sales Projection:

We have considered the base price as notified by the Ministry of Power for Biomass Pellet required for Thermal Power Plant. However, unit may explore his own private market for taking the better rate. GCV base market pricing are going up to Rs. 15 to 16 Per Kg.

At the initial level, we have made projection at the 80% utilization of production capacity. Thereafter capacity and pricing may be increased. We have taken a 7% increment in Pellet Price for making the projection in coming years.

As per the basis of Sales Projection, we have projected the raw material purchase and consumption thereof. Accordingly, Storage of raw material and finished good have been projected.

(i) Sales Projection for 7 Years:

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Manufacturing Capacity of Pellet (Per day in KG)	20000	20000	20000	20000	20000	20000	20000
Utilization of Capacity	80.00%	80.00%	80.00%	85.00%	85.00%	90.00%	90.00%
Working Day in Year	300	300	300	300	300	300	300
Output	95%	95%	95%	95%	95%	95%	95%
Quantity to be sold (Kg Lacs)	41.04	45.37	45.36	48.20	48.19	51.02	51.01
Average Rate of Per kg	8.00	8.56	9.16	9.80	10.49	11.22	12.01
Total Revenue	328.32	388.38	415.47	472.36	505.30	572.50	612.41

(ii) Raw Material Purchase and Consumption and Stocking:

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Opening Stock	0.00	12.00	12.60	13.23	13.89	14.59	15.32
Add: Purchase	60.00	48.60	48.63	51.66	51.69	54.73	54.77
Less: Consumed in Production	48.00	48.00	48.00	51.00	51.00	54.00	54.00
Closing Stock	12.00	12.60	13.23	13.89	14.59	15.32	16.08
Average rate	4.00	4.20	4.41	4.63	4.86	5.11	5.36
Purchase Value	240.00	204.12	214.46	239.22	251.34	279.40	293.57
Value of Closing Stock of raw Material	48.00	52.92	58.34	64.32	70.92	78.19	86.20

(iii) Finished Good Stock:

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Opening Stock	0.00	26.88	31.91	34.89	37.67	41.35	44.85
Cost of Goods Sold	268.75	303.87	316.46	345.73	361.45	395.35	414.43
Total Quantity manufacture	45.60	45.60	45.60	48.45	48.45	51.30	51.30
Cost Per Kg.	5.89	6.66	6.94	7.14	7.46	7.71	8.08
Quantity of Closing Stock in Lacs kg.	4.56	4.79	5.03	5.28	5.54	5.82	6.11
Closing Stock	26.88	31.91	34.89	37.67	41.35	44.85	49.37

6. Profitability Analysis

Particulars	Projected Year						
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
No. of Months	12	12	12	12	12	12	12
Sale	328.32	388.38	415.47	472.36	505.30	572.50	612.41
DIRECT EXPENDITURE							
Raw Material Purchase	240.00	204.12	214.46	239.22	251.34	279.40	293.57
Transportation cost	4.80	5.04	5.04	5.36	5.36	5.67	5.67
Loading & Unloading Expense	1.80	3.96	4.36	4.79	5.27	5.80	6.38
Bag Cost & Filling	4.20	10.21	10.21	10.85	10.86	11.49	11.50
Repair & Maintenance Exp	9.60	10.08	10.08	10.71	10.71	11.34	11.34
Electricity Exp.	19.20	20.74	22.39	24.19	26.12	28.21	30.47
Labour	17.40	37.58	40.59	43.84	47.35	51.13	55.22
Depreciation	19.75	17.06	14.75	12.76	11.05	9.57	8.30
Add:	Opening Stock :						
Raw Material	0.00	48.00	52.92	58.34	64.32	70.92	78.19
Less:	Closing Stock:						
Raw Material	48.00	52.92	58.34	64.32	70.92	78.19	86.20
COST OF PRODUCTION	268.75	303.87	316.46	345.73	361.45	395.35	414.43
Add:	Opening Stock :						
Finished Good	0.00	26.88	31.91	34.89	37.67	41.35	44.85
Less:	Closing Stock:						
Finished Good	26.88	31.91	34.89	37.67	41.35	44.85	49.37
COST OF GOODS SOLD	241.88	298.84	313.48	342.95	357.77	391.85	409.91

Profitability Analysis Continues.....

Particulars	Projected Year						
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
GROSS PROFIT	86.44	89.55	101.99	129.41	147.53	180.65	202.49
GP Ratio	26.33%	23.06%	24.55%	27.40%	29.20%	31.56%	33.07%
INDIRECT EXPENDITURE							
Staff Salary	9.00	9.00	10.80	12.96	15.55	18.66	22.39
Lease Rent	2.00	2.00	2.20	2.42	2.66	2.93	3.22
Administrative & Marketing Exp.	9.85	11.65	13.98	16.78	20.13	24.16	28.99
Sub Total	20.85	22.65	26.98	32.16	38.35	45.75	54.61
PROFIT BEFORE INTEREST & TAX	65.60	66.90	75.01	97.25	109.18	134.90	147.88
Interest on Term Loan	10.00	8.97	7.66	6.23	4.67	2.95	1.08
Interest on CC Limit	2.36	4.73	4.73	4.73	4.73	4.73	4.73
Net Interest	12.37	13.70	12.39	10.96	9.39	7.68	5.80
PROFIT BEFORE TAX	53.23	53.20	62.62	86.30	99.79	127.22	142.08
Provision for Taxation	13.31	13.30	15.66	21.57	24.95	31.81	35.52
NET PROFIT AFTER TAX	39.92	39.90	46.97	64.72	74.84	95.42	106.56
Cash Accrual for the year	59.67	56.96	61.72	77.48	85.89	104.99	114.86

7. Cash Flow in Business

Particulars		Projected Year						
		Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
A.	From Operational Activities:							
Net Surplus during the Year before tax		53.23	53.20	62.62	86.30	99.79	127.22	142.08
Add: Depreciation		19.75	17.06	14.75	12.76	11.05	9.57	8.30
		72.98	70.26	77.37	99.06	110.84	136.79	150.38
Add: Increase in C. Liabilities		20.62	(0.46)	1.36	1.49	1.63	1.80	1.99
Add: Subsidy Received		-	-	-	-	-	-	-
Less: Increase in C. Assets		129.60	19.96	14.88	15.88	18.11	19.39	22.01
Less: Income Tax		13.31	13.30	15.66	21.57	24.95	31.81	35.52
Cash Flow (i)		(49.30)	36.54	48.20	63.09	69.41	87.40	94.84
B.	From Financial Activities:							
Raising Term Loan		112.50	-	-	-	-	-	-
CC Limit		52.50	-	-	-	-	-	-
Own Contribution		55.00	-	-	-	-	-	-
Additional Capital				-	-	-	-	-
		220.00	-	-	-	-	-	-
Less: Loan Repayment		6.52	13.95	15.26	16.69	18.26	19.97	21.84
Less: Withdrawal		-	25.00	30.00	45.00	50.00	65.00	70.00
Cash Flow (ii)		213.48	(38.95)	(45.26)	(61.69)	(68.26)	(84.97)	(91.84)

Cash Flow in Business Continues.....

Particulars		Projected Year					
		Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
C.	From Investment Activities:						
Machinery	95.00	-	-	-	-	-	-
Building Civil Structure	55.00	-	-	-	-	-	-
Cash Flow (iii)	(150.00)	-	-	-	-	-	-
Net Cash Flow (i)+(ii)+(iii)	14.18	(2.41)	2.94	1.40	1.15	2.43	2.99
Opening Balance	-	14.18	11.77	14.70	16.10	17.25	19.68
Closing Balance	14.18	11.77	14.70	16.10	17.25	19.68	22.67



Particulars	Projected Year						
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
(D) Current Liabilities & Provisions:							
Sundry Creditors	14.58	15.31	16.07	16.88	17.72	18.61	19.54
Other Payable	6.04	4.85	5.45	6.13	6.92	7.83	8.88
CC Limit	52.50	52.50	52.50	52.50	52.50	52.50	52.50
Current Due of Term Loan	13.95	15.26	16.69	18.26	19.97	21.84	-
Total of D	87.07	87.92	90.71	93.77	97.11	100.78	80.92
<u>Total Liabilities</u> (A+B+C+D)	319.02	319.51	322.58	327.09	335.31	347.55	364.25
Assets							
(A) Fixed Assets:							
Building	49.50	44.55	40.10	36.09	32.48	29.23	26.31
Machinery and Equipment's	80.75	68.64	58.34	49.59	42.15	35.83	30.45
Total of A	130.25	113.19	98.44	85.68	74.63	65.06	56.76
(B) Non-Current Assets:							
Capital Subsidy Receivable	45.00	45.00	45.00	45.00	45.00	45.00	45.00
Total of B	45.00	45.00	45.00	45.00	45.00	45.00	45.00
(C) Current Assets & Others							
Sundry Debtors	54.72	64.73	71.20	78.32	86.16	94.77	104.25
Closing Stock	74.88	84.83	93.23	101.99	112.27	123.04	135.57
Cash & Bank Bal	14.18	11.77	14.70	16.10	17.25	19.68	22.67
Total of C	143.77	161.32	179.14	196.42	215.68	237.49	262.49
Total Assets (A+B+C)	319.02	319.51	322.58	327.09	335.31	347.55	364.25



3

**KEY FINANCIAL
INDICATORS**



CHAPTER 3

(i) Return on Investment:

We can evaluate the project by calculating Rate of Return on Investment and Net Profit Ratio.

As per financial projection in said business of biomass pellets;

$$\begin{aligned}\text{Net Profit Ratio} &= (\text{Net Profit for the Year} / \text{Total Sales}) * 100 \\ &= (\text{Rs. 39.92 Lacs} / \text{Rs. 328.32 Lacs}) * 100 \\ &= 12.16\%\end{aligned}$$

So, in the first year of operation Net Profit after tax ratio is approx. 12%. Accordingly, it is a good ratio that attract the investor in this business.

IRR Base Evaluation:

Further we can also evaluate the project by calculating the IRR i.e Internal Rate of Return on the Investment.

- As we projected, after met out the Interest on Bank Loan and taxation the net profit in 7 Years has maintained the NP Ratio more then 12%.

We can evaluate the IRR in three different aspects as:

1. Total Investment in Project is Rs. 220.00 Lacs. (Including Fixed Capital & Working Capital Investment)

Accordingly, Project IRR in 7 Years is 19%.

2. Total Investment of Rs. 150.00 Lacs. (Consider only Fixed Investment)

Accordingly, Project IRR in 7 Years is 31%.

3. Investor own Investment of Rs. 55.00 Lacs.

Accordingly, Project IRR in 7 Years is 83%.

Overall, the said business of biomass pellets has a good potential of generation rate of return on investment in all aspects along with a good Net Profit margin.

(ii) Payback Period:

Generally, Investor seek the period in which they will get back their investment from the project, as knows as Payback Period.

In the said projection, Payback period is approx. 2.5 Years.

Means to say, investor get back his money within 2.5 Years.

Early recovery of money, makes this business more attractive.





4

RISK ASSESSMENT

CHAPTER 4

Since the said project of Biomass Pellets seems to be more attractive in context of financial figure but still there are some risk areas in this business. Out of these majors are as:

(i) Raw material Availability:

Most of the raw material of Agri Residue are seasonal bases. Hence unit need to ensure timely line up with supplier. That required at least storage of 3 to 4 Months for regular production in unit. Ultimately big amount needs to be invested in working capital.

Further such market of Agri residue is too much price sensitive, it is recommended to have an advance agreement with Biomass Aggregator. So that uninterrupted supply can be assured throughout the year.

(ii) Technical Specification:

For better selling price of pellets, unit need to ensue the GCV (Gross Caloric Value of Pellets) throughout the year. It is a big risk to maintain the moisture level in pellets specifically in rainy season.

(iii) Selling Price:

- Since pellets market in India is in infant stage and there is too much price volatile in commercial uses of pellets as a substitute of Coal. Price offer by the Ministry of Power is comparative low in the private market.



5

SUBSIDY PLANNING

CHAPTER 5

For making the project more viable, investor can line up the better subsidy planning in their project. By making subsidy planning, investor can enhance their profit and cash flow in his business.

Investors are recommended to have a good subsidy planning in the business of biomass pellets. So that they can make better financial feasibility of their proposed investment in this sector.

For your kind reference, we are sharing a list of the subsidy applicable for the biomass pellets business. We have covered the central subsidy as well as the state specific subsidy in this list.

Subsidy Planning For Biomass Briquettes or Pellets Business

Sr. No.	Types of Subsidy	Rate of Subsidy	Amount of Subsidy
Central Govt. Subsidy or Incentives			
A	Capital Subsidy		
1	PMEGP Scheme		
(i)	(Suitable For Project Cost up to Rs. 50.00)	25%/35%	Max. 17.50 Lacs
2	MNRE		
(i)	Briquettes Business	Rs. 9.00 Lacs Per TPH, Max. up to 5 TPH	Max. Rs. 45.00 Lacs
(ii)	Non - Torrefied Pellets	Rs. 21.00 Lacs Per TPH (Max. up to 5 TPH) Or 30% of Plant & Machinery Cost, whichever is lower.	Max. Rs. 1.05 Cr.
B	Subsidy under Agri Infra Fund		
(i)	Interest Subsidy on Bank Term Loan of Rs. Up to 2.00 Crore.	3% Per Year for 7 Years	Approx. 30 to 35.00 Lacs.
(ii)	Refund of CGTMSE Cover Fee	100% Refund	As on Actual Paid Basis for 7 Years.
C	Tax Incentives U/s 80JJA		
	Income Tax Exemption for 5 Years	100%	For First 5 Years

Subsidy Planning For Biomass Briquettes or Pellets Business

Sr. No.	Types of Subsidy	Rate of Subsidy	Amount of Subsidy
State Govt. Subsidy or Incentives			
(State Level Subsidy or Incentives may be variate as per State Specific Policy)			
1	Capital Subsidy		
(i)	In Addition to Central Subsidy, State may also have the Provision of Capital Subsidy.	15% to 40%	Project Specific
2	Stamp Duty Refund		
(i)	Refund or Exemption for Stamp Duty Paid for Land Buying	60% to 100%	Project Specific
3	EDC Refund		
(i)	Refund or Exemption of External Development Charges such as EDC or CLU Fee etc.	60% to 100%	Project Specific
4	Electric Duty Exemption	100%	Project Specific
5	Interest Subsidy		
(i)	In Addition to AIF, State may have the Provision of Interest Subsidy	5% to 8%	Project Specific
6	State GST Refund		
(i)	Refund of Net Paid SGST	50% to 100%	Project Specific
7	Employment Generation Subsidy		
(i)	For Promoting Local Employment	Rs. 30,000 to 50,000 Per Employee Per Year	Project Specific



6

QUANTUM OF
SUBSIDY
(FOR 2TPH PLANT)



CHAPTER 6

For better understanding of the subsidy subjects, we are sharing herewith a practical example of 2TPH biomass pellet production unit.

In this example, we have covered all the central as well as a state level eligible subsidies & incentive. We have lined up the provisions of capital subsidies provided by the central government along with state level incentives such as interest subsidy, stamp duty refunds employment generation subsidy etc.

Also lined up the central level incentives provisions such as interest subsidy within agriculture infrastructure funds along with the text incentives provided for the biomass pilot business.

Standard Example of 2TPH - Biomass Pellets Plants in Haryana
Investment and Subsidy Benefits

Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
1	Land Required (Owned/Lease) – Half Acre to 1 Acres (May extent for Storage Purpose)	Purchased Cost of Land Rs. 53.50 Lacs	100% Refund of Stamp Duty Paid (For Example Rs. 3.50 Lacs)	Rs. 3.50 Lacs	3.50
2	Building and other Civil Work – (550 Sq. m to 650 Sq. m)	Rs. 55.00 Lacs	Capital Subsidy		
3	Plant & Machinery	Rs. 80.00 Lacs	Capital Subsidy		
4	Other: (Electrification/Weight Measurement/Furniture etc.)	Rs. 15.00 Lacs	Capital Subsidy		
(i)	Total Fixed Capital Expenditure (Except Land)	Rs. 150.00 Lacs	Capital Subsidy @30%	Rs. 45.00 Lacs	45.00
5	Working Capital Need: (For 60 Days)	Rs. 70.00 Lacs	No Any Subsidy		
6	Total Fund Requirement (Except Land)	Rs. 220.00 Lacs	Project Specific		
7	Own Fund Requirement – 25%	Rs. 55.00 Lacs			

Standard Example of 2TPH - Biomass Pellets Plants in Haryana
Investment and Subsidy Benefits

Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
8	Bank Loan – 75%				
	Term Loan @ 9%	Rs. 112.50 Lacs	Interest Subsidy under AIF@3%	Rs. 3.40 Lacs in First Year (Continued For 7 Years)	15.40
	Cash Credit Limit	Rs. 52.50 Lacs			
	Total Loan Amount	Rs. 165.00 Lacs			
9	State MSME Interest Subsidy		5% Per Year	Rs. 5.63 Lacs in First Years (Continued for 7 Years)	25.50
10	No. of Person Employed	15	Employment Generation Subsidy @ Rs. 48000/- Per Staff)	Rs. 7.20 Lacs in First Year (Continued For 7 Years)	50.40
11	Average Market Price	Rs. 8000/- Per Ton			
12	Average Yearly Production (10 Hours Per Day for 300 Working Day)	6000 Ton			

Standard Example of 2TPH - Biomass Pellets Plants in Haryana
Investment and Subsidy Benefits

Sr. No.	Particulars	Approx. Amount	Subsidy Syncing	Subsidy Benefits in 1st Year	Total Subsidy in 7 Year
13	Average Annual Turnover	Rs. 480.00 Lacs	50% Refund of SGST	Rs. 6.00 Lacs in First Year (Continued For Next 7 Years as per Turnover Basis)	77.50
14	Average Cost of Production	Rs. 5000/- Per Ton			
15	Gross Margin (37.50%)	Rs. 3000/- Per Ton			
16	Net Margin (12.50%)	Rs. 1000/- Per Ton	0.125		
17	Amount of Net Profit	Rs. 60.00 Lacs	100% Tax Deduction (Average Tax @ 25%)	Rs. 15.00 Lacs in First Years (Continued For 5 Years)	91.58
18	Total Subsidies & Incentives			88.73	308.88
19	Total Owned Investment (Except Land)	Rs. 55.00 Lacs	Subsidy Vs Investment (in times)	1.61	5.62
20	Total Owned Investment (Including Land)	Rs. 108.50 Lacs		0.82	2.85



7

CONCLUSION



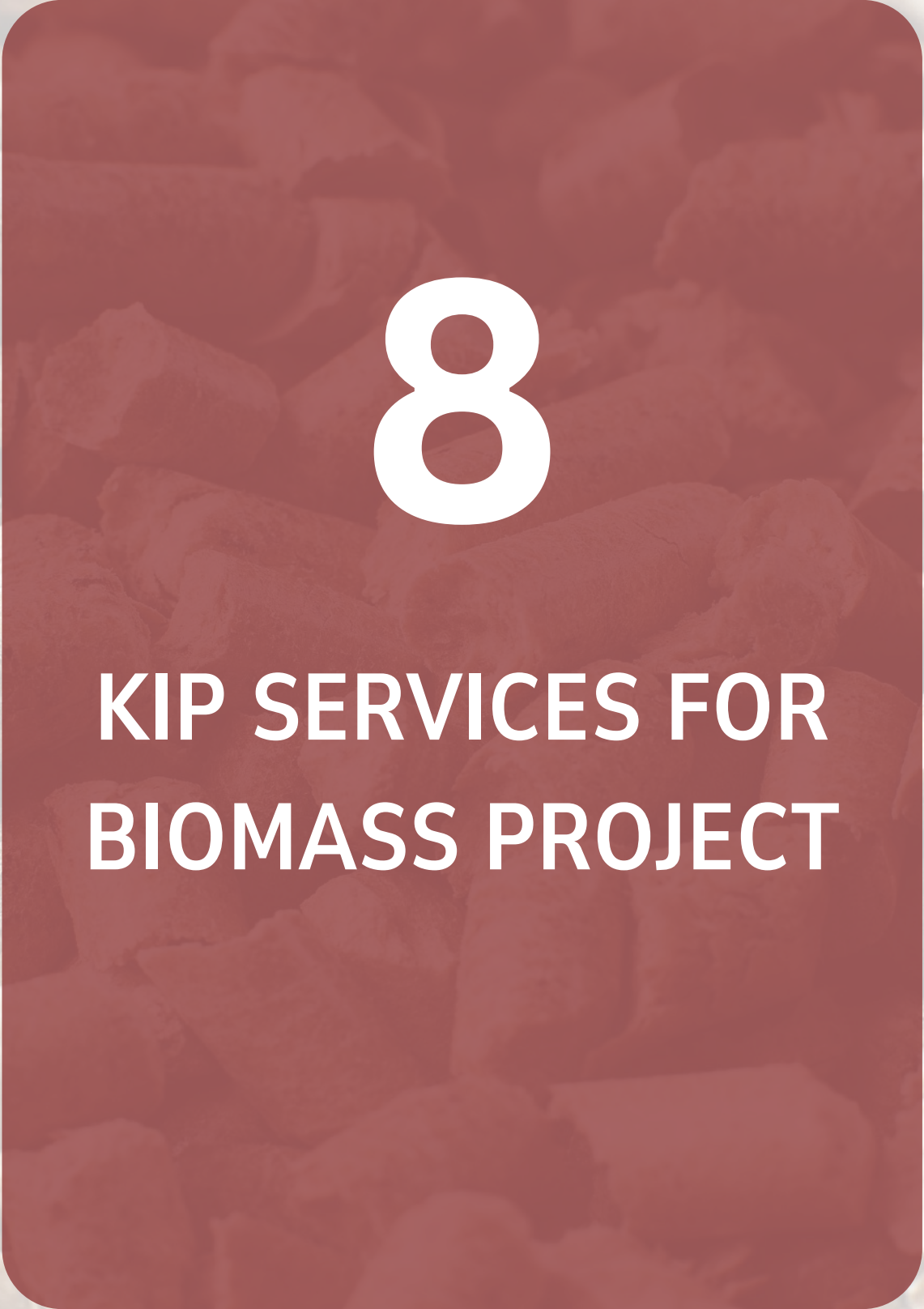
CHAPTER 7

A positive financial feasibility analysis would show strong profitability, a reasonable payback period, and manageable risks. The project should also align with market demand and benefit from government incentives. A detailed business plan, including these factors, can help secure financing and ensure the successful implementation of the biomass pellet project.

Overall, if we see the business of biomass briquettes and pellets, considering the financial feasibility analysis we have done, we can say that it is a highly demandable business, it is a hundred percent tax free business and the best point is that it is a waste to energy project.

If we are having agriculture residue or forest residue, horticulture residue and wooden base, residue, then this is a highly returnable business in which we can plan for very high returns, along with this, if we look at its overall financial feasibility, then the government incentives, availability of the easy bank loan and the tenders invited by the government, makes this business most lucrative. Which attracts more investors in it, but along with these things, we will also have to take care that the biggest challenge in this business i.e raw material availability. If you have raw material available in good quantity and good supply chain, then you can do this business and get high returns.

The major important aspect in this is that the availability of raw materials and selection of the right machine will make this business more profitable. So, whenever you start the business, take care that there is availability of raw materials around you.

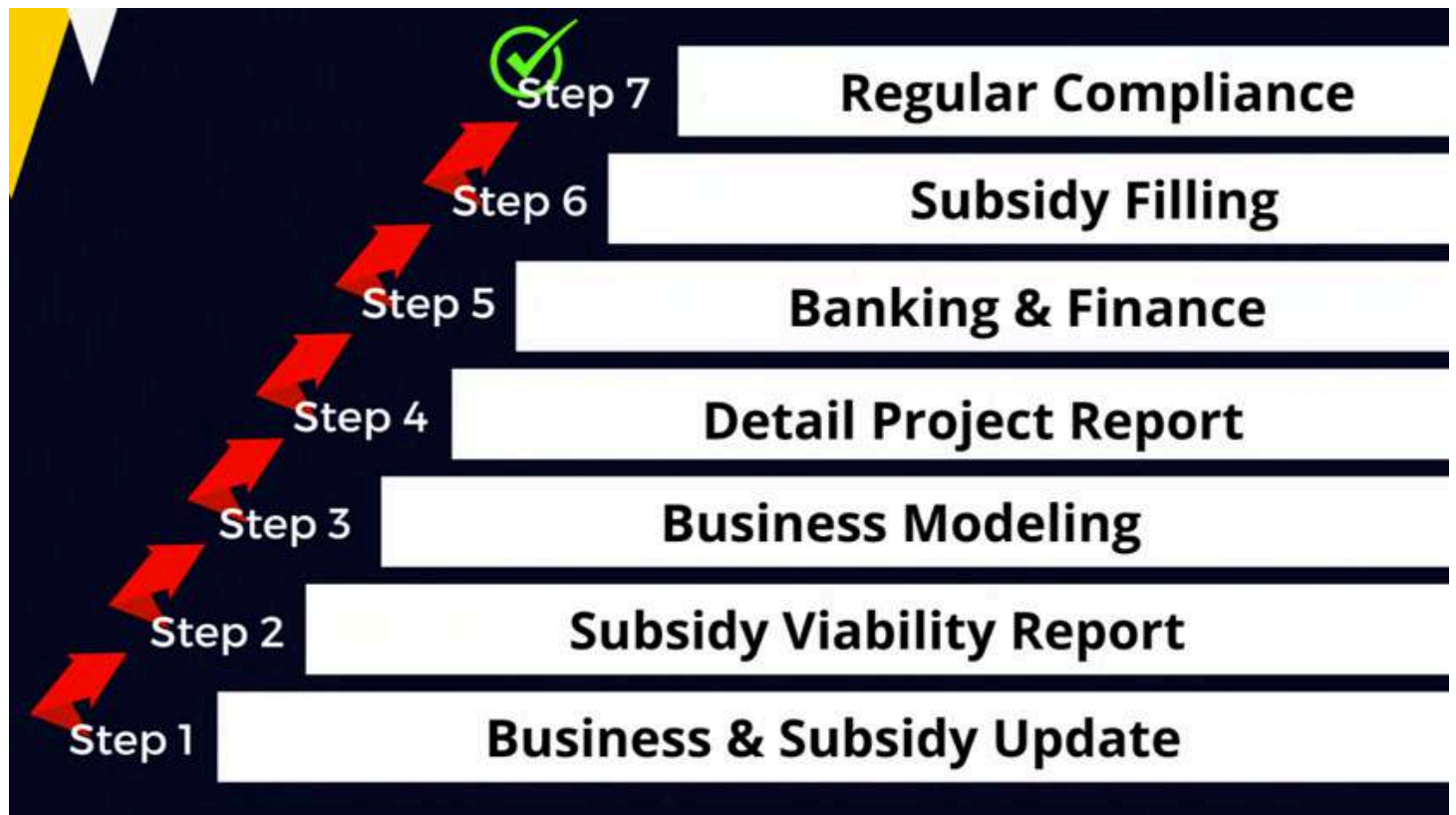


8

**KIP SERVICES FOR
BIOMASS PROJECT**



If you are going to plan Biomass Briquettes and Pellets project then we at KIP will assist to you. We adopt the step by step working approach so that project can be implemented in less time with maximize subsidy.



1.Business and Subsidy Update:

We are giving regular update on Business subsidy to our registered clients. You may know more about KIP: Business and Subsidy update.

**Scan QR Code
Join KIP Business
Community**



Join KIP Business Community: <https://rzp.io/l/subsidyupdates>

2. Subsidy Viability Report (SVR):

Through SVR, we at KIP listing all eligible subsidy and incentives on the Project. It is highly customized as per the Project nature and location. It will assist to a businessman in making best investment planning and most suitable business modelling.

3. Business Modelling:

In order to maximize the incentives, we help the businessman in adopting most suitable business Model. Here we will also assist in taking required business registration such as MSME/HUM/IEC/GST/Startup etc.

4. Detailed Project Report:

After the SVR and Business Registration, we at KIP, frame the Complete and Detailed Project Report (DPR) considering the parameters of Bank Financing and Subsidy benefits in the project.

5. Bank Financing:

Since most of subsidy and incentives are credit linked, we assist the applicant in loan documentation and processing of loan at lower rate of interest with syncing of Subsidy Benefit.

6. Subsidy Filling and Processing:

We at KIP also provide our services on filling of Subsidy Application and processing thereof. We give support the applicant in AIF/MNRE/CPCB/PMEGP Application and taking project approval.

7. Regular Compliance:

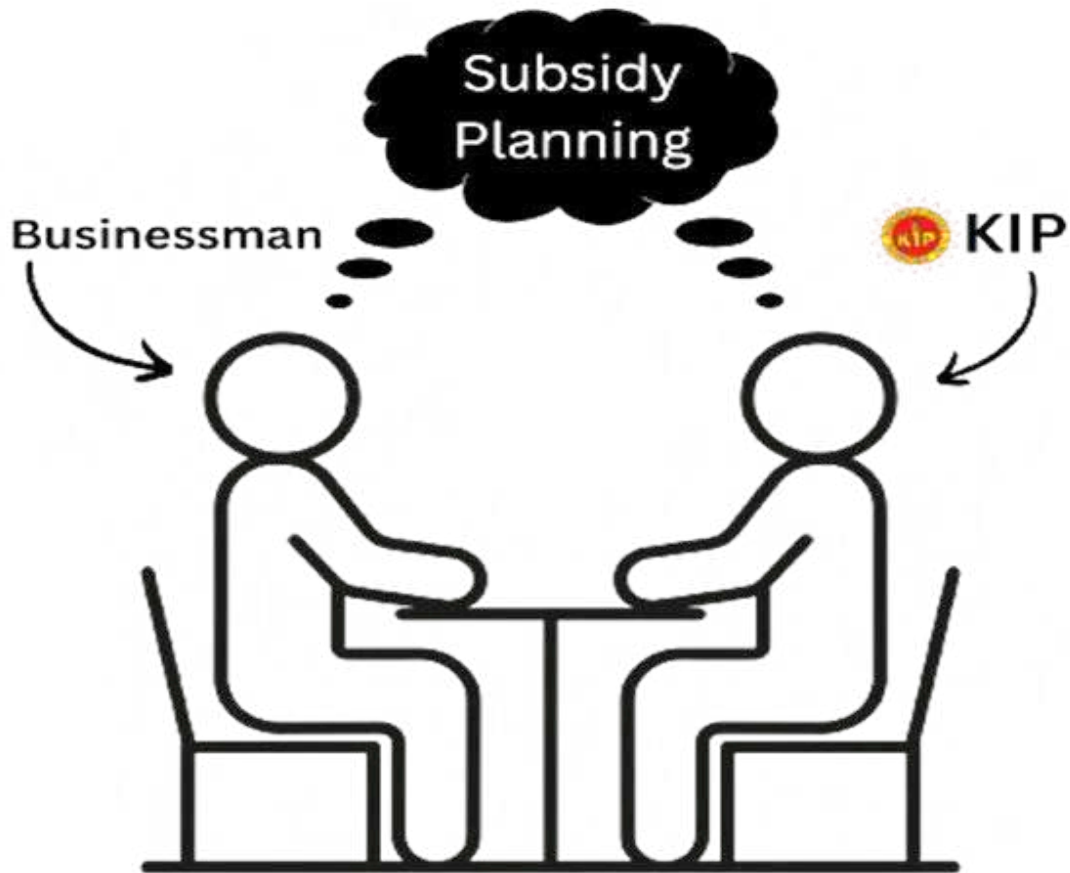
We also ensure regular compliance of the project so that regular incentives such as Interest Subsidy, State GST Refund, Electric Duty exemption, Employment Subsidy etc. can be obtained timely.

Biomass Briquettes and Pellets Specific Add on:

Tender Filling Services:

By joining KIP Business Community, we will update to you for upcoming tender for this business. Apart from Tender Update, we will also assist in Tender Filling and documentation work thereof.

Consultancy Round



Consultancy Round

Book Consultancy Round: <https://forms.gle/qTEQQTFqyUqQutt88>

Scan QR Code
For Consultancy Round



KIP Success Dashboard

Some Major Clients:

- 1. Taranjot Energy Solution Private Limited**
- 2. Quality Foils (India) Limited**
- 3. ECO URJA VENTURES**
- 4. Shree Shyam Bio Fuel**
- 5. Hari Govardhan Renewal Energy Pvt. Ltd**
- 6. Bhuvi Renewables private limited**
- 7. Vardhman Agro Products**
- 8. Mayra Biofuel**



CLIENT

You may connect with us and share your business planning.

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By Making Visit in our Office:

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Disclaimer:

This Financial Feasibility Report contains the information related to Biomass Business specifically to assess the Cost of Project, Funding Pattern, Project IRR and allied Financial aspects for said business along with Financial Assistance from Centre Govt. as applicable presently. Such information's are helpful to Investor for taking Business Investment decision. We at KIP, are not responsible for any financial and non-financial loss for such investment. Further, KIP shall not entertain any claim with respect to availing Govt. subsidy or any other Govt. departmental approval. Further State/Centre Govt. may amend any provision of said schemes. Eligibility of subsidy shall be subject to provision of scheme and as per location prescribed in said policy. So, readers are requested to go in details for scheme before taking any decision and advised to take services of business subsidy consultant.

KIP FINANCIAL CONSULTANCY PRIVATE LIMITED

Thank You

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